

Olympiad Test Paper — Social Science (Class 7) — Paper 5

Chapter 20: Banks and the Magic of Finance

Paper 5 — (progressively harder)

Subject	Social Science (NCERT Class 7)
Chapter	20 — Banks and the Magic of Finance
Total Questions	60 (Multiple Choice, single correct)
Maximum Marks	240
Suggested Time	90 minutes

Marking scheme: +4 for each correct answer · -1 for each wrong answer · 0 if unattempted.

Instructions: Each question has four options (A), (B), (C), (D); exactly one is correct. Apex traps: reading compound growth as flat simple interest across MANY years; mispricing a bank's net interest position when only PART of deposits are lent; assuming a benchmark-rate RISE makes loans cheaper; treating the RBI as a place individuals bank rather than the banker-to-banks, currency issuer and regulator; believing shares are a guaranteed, risk-free saving; thinking UPI or a cheque mints new money rather than moving existing rupees; and imagining a genuine bank would phone for your OTP, PIN or password (report fraud on 1930). One option is correct; the rest are expert misconceptions. Do not write on this paper — mark answers on your answer sheet.

1. A district opens four facilities in one year: a freight railway line, a community hospital, a commercial bank branch, and a stock exchange office. A student must group them into the chapter's three infrastructure types AND name which two share a category. The correct grouping is:

(A) The railway and the bank are physical; the hospital and the stock exchange are social.

(B) All four are financial infrastructure, since each handles or cost money.

(C) The bank branch and the stock exchange together form financial infrastructure; the railway is physical and the hospital is social.

(D) The hospital and the stock exchange are financial; the railway and the bank are physical.

2. Region X has ports, power grids, dense bank branches, a busy stock market and instant digital payments; Region Y has the ports and grids but none of the financial facilities.

Following the chapter's reasoning about 'complementing', the sharpest single conclusion is that Region X can:

(A) safely demolish its ports and grids, since strong finance now does their job for them.

(B) put its ports and grids to fuller use, because finance can raise, lend and move the money that funds and operates those physical projects, the two working together.

(C) expect no advantage at all, because finance and physical infrastructure never affect one another.

(D) help only its richest residents, because banks and markets never reach ordinary people.

3. A teacher claims, 'A pipeline network and a UPI payments system are the same kind of infrastructure because both deliver something useful instantly.' The best correction is that:

(A) they are the same kind, because anything delivered instantly counts as financial infrastructure.

(B) the pipeline is financial infrastructure and UPI is physical infrastructure.

(C) they differ in type — a pipeline is physical infrastructure carrying a resource, while UPI is financial infrastructure moving money between accounts.

(D) neither is infrastructure, since only roads and bridges are real infrastructure.

4. A family needs THREE accounts: money locked for five years at the highest interest, a place for everyday saving with easy withdrawals, and an account for a shop making dozens of payments daily. The single fully correct matching is:

(A) savings account for the lock-in, current account for everyday saving, fixed deposit for the shop.

(B) current account for the lock-in, fixed deposit for everyday saving, savings account for the shop.

(C) fixed deposit for the five-year lock-in, savings account for everyday saving, current account for the shop's daily payments.

(D) fixed deposit for all three, since it pays the most interest.

5. A bank receives 1,00,000 in fresh deposits, keeps 20,000 as reserves and lends 80,000 out. A depositor then asks to withdraw 30,000. The chapter's view of why the bank can still pay is that:

(A) the bank had in fact kept every rupee of the 1,00,000 untouched in a vault.

(B) a bank manages its reserves alongside ongoing new deposits and loan repayments, so a depositor's right to withdraw stays safe even though most deposits are lent out.

(C) the bank prints 30,000 in new currency notes to hand over.

(D) the bank instantly recalls the entire 80,000 loan that same day to pay the depositor.

6. Two savers each place 1,000 for 3 years at 10% per year. Saver A earns simple interest; Saver B earns interest compounded yearly. The amount by which B's total interest exceeds A's is:

- (A) 0 (B) 100
(C) 31 (D) 331

7. A bank pays depositors 4% and charges borrowers 9%. It holds 2,00,000 in deposits, of which it lends out 1,50,000. Its rough yearly net interest position is:

- (A) earn 18,000 and pay 13,500 — a net gain of 4,500.
(B) earn 13,500 on loans, pay 8,000 to depositors — a net gain of 5,500.
(C) earn 13,500 and pay 6,000 — a net gain of 7,500.
(D) earn 18,000 by charging 9% on the full 2,00,000 — a net gain of 18,000.

8. On the doubling-grain chessboard, one grain sits on square 1 and the count doubles each square. How many grains sit on the 11th square?

- (A) 22 (B) 121
(C) 1024 (D) 2048

9. A father leaves a sum to compound untouched for 18 years; a neighbour withdraws and spends his interest every year so nothing accumulates, both at the same rate. The chapter's lesson is that the father's money will most likely:

- (A) grow much faster, because leaving the interest in lets it earn interest on interest year after year.
(B) grow more slowly, because money left untouched gradually loses its value.
(C) grow by exactly the same total, since only the rate matters and not how long it compounds.
(D) shrink, because banks quietly reduce balances that are never touched.

10. A microloan scheme lends a trader 1,000 at 20% per year compounded; she repays after THREE years. The total she owes is:

- (A) 1600 (B) 1728
(C) 1440 (D) 1200

11. A child asks, 'If a bank lends my deposit to others, why is it fair I still get interest?' The chapter's best answer is that:

- (A) the bank earns more by lending your money to borrowers than the interest it pays you, and it shares part of that earning back with you.
(B) the government pays your interest because the bank keeps your money idle in a vault.
(C) the bank prints fresh notes equal to your interest at the end of each year.
(D) borrowers usually refuse to repay, leaving the bank spare money to pass to you.

12. A baker borrows 1,00,000 to buy an oven and repays 1,08,000 over a year. Reading the parts of the loan, the 8,000 is the _____ and the 1,00,000 is the _____.

- (A) principal; interest, because the larger figure is always the principal.
(B) interest (the cost of borrowing for that time); principal (the original sum borrowed).

- (C) dividend; deposit, because the baker earned a profit share.
- (D) benchmark rate; reserve, because the RBI fixed both amounts.

13. Village P's adults mostly bury cash at home; Village Q's adults keep the same total in bank deposits. The chapter says Village Q's economy benefits more chiefly because:

- (A) buried cash quietly earns interest while bank deposits earn none.
- (B) banks burn deposited money for safety, taking it out of circulation.
- (C) the deposited savings are lent out as loans for homes, farms and businesses, putting the money to work locally and beyond.
- (D) deposits are immediately shipped abroad to help other countries instead.

14. A person paid only in cash cannot save safely and must borrow from a moneylender at a steep rate. Inclusive banking of the Jan Dhan kind would most directly help by:

- (A) forcing them to invest all their cash in company shares for higher returns.
- (B) giving them a bank account so they can save securely and, over time, reach formal credit at fairer terms.
- (C) banning them from borrowing money ever again to keep them out of debt.
- (D) removing any need for them to save, since the scheme hands out monthly cash.

15. Match the two landmarks to their years: the establishment of the Reserve Bank of India, and the launch of the Jan Dhan Yojana. The gap between the two events is also asked. Which row is fully correct?

- (A) RBI 1935; Jan Dhan 2014; about 50 years apart.
- (B) RBI 1950; Jan Dhan 2014; about 64 years apart.
- (C) RBI 2014; Jan Dhan 1935; about 79 years apart.
- (D) RBI 1935; Jan Dhan 2014; about 79 years apart.

16. A child wants to open a personal savings account directly at the Reserve Bank of India 'for the most safety'. The most accurate response is:

- (A) yes, the RBI is the safest bank, so all citizens should keep their savings there.
- (B) the RBI is the central bank serving banks and the government, not a place where individuals open accounts; the child should use a commercial bank.
- (C) yes, but only adults are permitted to open RBI personal accounts.
- (D) no, because the RBI has no role in money or banking at all.

17. A newspaper lists five actions in one month. Which single action is one that the RBI does but an ordinary commercial bank does NOT?

- (A) Accepting savings deposits from individual customers.
- (B) Giving home loans to families to build houses.
- (C) Letting customers withdraw cash from their own accounts.
- (D) Printing the country's currency notes.

18. Saying the RBI is the 'banker to banks' captures which relationship most accurately?

- (A) The RBI competes with commercial banks to win ordinary customers' savings.
- (B) The RBI is owned and run by the country's largest commercial bank.
- (C) Commercial banks hold accounts with, and can borrow from, the RBI, just as individuals hold accounts with commercial banks.
- (D) The RBI lends only to foreign banks, never to Indian ones.

19. When we say the RBI 'supervises' the banking system, the most accurate meaning is that it:

- (A) takes over and runs the daily branch business of every bank itself.
- (B) sets rules and watches over banks to keep the whole banking system safe and sound.
- (C) advertises against banks to lure away their individual customers.
- (D) issues company shares on behalf of the banks it oversees.

20. The RBI RAISES its benchmark interest rate. The most likely chain of effects across the economy is that:

- (A) banks can now lend more cheaply, so borrowing speeds up everywhere.
- (B) the price of every product in shops is set directly by the new rate.
- (C) banks must pay more to borrow from the RBI, so they charge customers more, and borrowing across the economy tends to slow.
- (D) all share prices are fixed at the new rate and stop changing.

21. A family is about to take a large home loan when the RBI announces it has CUT the benchmark rate. The most reasonable expectation is that:

- (A) loan interest must rise, because a rate cut makes borrowing dearer.
- (B) the price of the house is now fixed by the RBI at the lower rate.
- (C) the family will be paid a dividend by the bank for taking the loan.
- (D) banks may now lend more cheaply, so loan interest could fall, making borrowing now somewhat more affordable.

22. Prices in shops keep climbing for months, and the same 100 buys less than a year ago, while the RBI considers raising its benchmark rate. The rising-price situation is named _____, and the rate rise is one tool to _____ it.

- (A) inflation; speed up by making borrowing cheaper so spending rises.
- (B) inflation; check (slow down) by making borrowing dearer so spending eases.
- (C) compounding; check by adding interest on interest to balances.
- (D) a dividend; check by sharing more company profit with savers.

23. Why does the chapter present keeping inflation in check as one of the RBI's important goals?

- (A) because rising prices always make everyone richer, which the RBI wants.
- (B) because the buying power of money does not affect ordinary daily life.

(C) because higher inflation forces banks to pay more interest, which mainly helps savers.

(D) because stable prices protect the value of people's savings and incomes from being eroded.

24. The RBI has two jobs that can pull against each other: keeping inflation low and keeping borrowing affordable. Raising the benchmark rate SHARPLY to fight inflation can also:

(A) make loans free, since fighting inflation removes all interest.

(B) have no effect on borrowing at all, since prices and lending are unrelated.

(C) force the stock market to shut until prices stop rising.

(D) make loans more expensive, so households and businesses may borrow and spend less.

25. You pay a shopkeeper by cheque; your friend pays the same shopkeeper by instant electronic transfer; a third customer pays by UPI. In ALL three cases, what fundamentally happens to the money?

(A) brand-new rupees are created each time any of the three methods is used.

(B) the shopkeeper receives company shares instead of rupees in each case.

(C) physical notes are mailed between the banks for every payment.

(D) the same rupees move from one bank account to another; only the speed and method differ.

26. Why is an electronic transfer usually preferred over a paper cheque for an urgent payment?

(A) a cheque creates new money instantly while an electronic transfer does not.

(B) an electronic transfer is the only legal way to pay a shopkeeper.

(C) it moves money between accounts almost instantly, whereas a cheque must be presented and cleared, which takes time.

(D) a cheque moves company shares while a transfer moves money.

27. A cheque is best described as which kind of instruction?

(A) a written order telling your bank to pay a named person a stated sum from your account.

(B) a unit of ownership entitling the holder to a share of a company's profit.

(C) a promise by the RBI to print new currency notes on demand.

(D) a record of the interest the bank has added to your savings.

28. A traveller with no cash but a charged phone and a UPI app linked to her bank pays at a roadside stall that accepts UPI. The payment works because:

(A) the phone prints temporary currency notes that the stall can later bank.

(B) UPI instantly moves rupees from her bank account to the stall-owner's bank account.

- (C) the app converts her account balance into company shares to trade for goods.
- (D) the stall-owner posts her a cheque in return for the goods bought.

29. The chapter calls UPI 'India's gift to the world'. The most fitting reason is that UPI:

- (A) is an Indian-built instant payment system, widely used on smartphones, that other countries have noticed and adopted.
- (B) was invented abroad and merely copied for use within India.
- (C) is a paper-based system older than the cheque.
- (D) is the official name of India's central bank.

30. A friend insists, 'UPI is a brand-new kind of money that has replaced the rupee.' The chapter's correction is that UPI is:

- (A) indeed a new currency that has taken the place of the rupee.
- (B) a form of barter, swapping goods directly without any money.
- (C) a fast electronic way to move existing rupees between bank accounts — a method of payment, not a new currency.
- (D) a type of company share that people trade for goods.

31. If you buy 20 shares in a company that has issued one lakh shares in total, you become:

- (A) the full owner of the entire company.
- (B) a very small part-owner of the company, holding a tiny fraction of it.
- (C) an employee whom the company must pay a salary.
- (D) a lender to the company who is owed fixed interest.

32. A company you hold shares in announces a profitable year and pays out part of its profit to shareholders. What you receive is best described as:

- (A) an interest payment, like that on a savings deposit.
- (B) a repayment of a loan you had given the company.
- (C) a refund of the original price you paid for the shares.
- (D) a dividend — your share of the company's profit.

33. A shareholder can gain in two main ways. Which pair names them correctly?

- (A) receiving a dividend when the company profits, and selling the share for more than it was bought for when its price rises.
- (B) earning a fixed monthly interest, and a guaranteed refund at year-end.
- (C) collecting a salary from the company, and a free new share each year.
- (D) being repaid the principal with interest, exactly like a depositor.

34. The stock market belongs to the same broad infrastructure category as a bank because both:

- (A) are part of transport infrastructure, moving goods and people.
- (B) are part of social infrastructure, like schools and hospitals.

(C) are part of energy infrastructure, like grids and pipelines.

(D) are part of financial infrastructure — the network that moves and manages money.

35. Cautious Asha wants her money safe with a small but certain return; bold Bina is willing to risk losses for a chance at higher gains. The best simple match is:

(A) a savings or fixed deposit for Asha, and shares for Bina.

(B) shares for Asha, and a fixed deposit for Bina.

(C) shares for both, since shares are always safe.

(D) a fixed deposit for both, since deposits can lose value.

36. Why can a savings deposit promise a known return while a share cannot?

(A) a share pays interest set by the bank, while a deposit's value floats freely with the market.

(B) both pay the same fixed dividend, so neither return is actually known.

(C) a deposit pays interest set by the bank, while a share's value depends on the company's performance and the market, which can rise or fall.

(D) the RBI guarantees every share's gain but does not guarantee deposit interest.

37. A friend says, 'Buying shares is just like a savings account — it is sure to grow every year.' The strongest correction is:

(A) shares can rise OR fall with the company and the market, so they carry real risk, unlike a fixed-interest savings deposit.

(B) shares always grow faster than savings and can never lose value.

(C) a savings account is far riskier than shares, so shares are the safe choice.

(D) shares and savings are identical, so the friend's claim is correct.

38. A caller says, 'I'm from your bank's security team; to protect your account, please read out the OTP we just sent.' The correct action is:

(A) share the OTP at once, since the caller said it is for your safety.

(B) share the OTP and your PIN together to be extra safe.

(C) send a small test payment to verify your account is protected.

(D) refuse and hang up — a genuine bank never asks for your OTP — and report it on the cyber-fraud helpline 1930.

39. Which single principle best explains why 'never share your OTP', 'never share your PIN' and 'never write your password where others can see it' are ALL good advice?

(A) banks regularly need them, so you should keep changing them every day.

(B) these secrets are the keys to your money, and a genuine bank never needs them from you, so anyone seeking them intends fraud.

(C) they are only at risk from foreigners, so locals can be trusted with them.

(D) they matter only for share dealings, not for ordinary bank accounts.

40. The words 'bank' and 'bankrupt' share a common root. The correct link is:

- (A) both come from a word meaning 'gold vault', the bank being full and the bankrupt empty.
- (B) 'bank' comes from 'cheque' and 'bankrupt' from 'currency'.
- (C) both come from the Latin for 'to trust', the same root as 'credit'.
- (D) both come from the Italian 'banca' ('bench'); a failed moneylender's 'banca rotta', or 'broken bench', gave us 'bankrupt'.

41. 'Finance' comes from the Latin 'finis' ('end'), once meaning the settling of a debt. Its modern meaning has broadened to:

- (A) the management of money — saving, lending and investing.
- (B) the building of roads, bridges and ports.
- (C) the printing of currency notes alone.
- (D) the trading of goods by barter without any money.

42. A saver compares 5,000 left for TWO years at 10% simple interest with 5,000 left for two years at 10% compounded yearly. The difference in interest earned over the two years is:

- | | |
|---------|---------|
| (A) 0 | (B) 50 |
| (C) 100 | (D) 500 |

43. An adult does four things in a week: deposits savings, takes a home loan, pays bills by UPI, and buys a few company shares. Which single statement about these acts is correct?

- (A) the deposit is safe with a known return, the share carries risk and can rise or fall, the loan must be repaid with interest, and UPI just moves existing rupees.
- (B) the deposit, loan and share are all guaranteed to grow at the same fixed rate.
- (C) the UPI payment creates new money, while the other three move old money.
- (D) the loan earns the person interest, just as the deposit does.

44. A bank pays depositors 5% and charges borrowers 11%. It holds 4,00,000 in deposits and lends out 3,00,000. Its rough yearly net interest position is:

- (A) earn 44,000 and pay 33,000 — a net gain of 11,000.
- (B) earn 33,000 and pay 15,000 — a net gain of 18,000.
- (C) earn 33,000 on loans, pay 20,000 to depositors — a net gain of 13,000.
- (D) earn 44,000 by charging 11% on the full 4,00,000 — a net gain of 44,000.

45. Two friends each invest 8,000 for two years at 25% per year. One earns simple interest, the other compound interest. By how much more does the compound investor end up than the simple investor?

- | | |
|----------|----------|
| (A) 500 | (B) 0 |
| (C) 2000 | (D) 4000 |

46. A planner must remove the ONE item that does NOT belong with the others by infrastructure type. Which should be removed from: a commercial bank, a stock market, a digital payments system, and a national power grid?

- (A) the national power grid, because it is physical infrastructure while the other three are financial.
- (B) the stock market, because trading shares is not really about money.
- (C) the digital payments system, because moving money is not infrastructure.
- (D) the commercial bank, because storing money is a social service.

47. A grandmother keeps 50,000 in cash under her mattress; her grandson keeps 50,000 in a savings account at the same bank. After one year the chapter's reasoning says the grandson's money differs because it:

- (A) earned some interest and, because the bank lent most of it out, helped fund loans in the economy — while the mattress cash stayed idle and earned nothing.
- (B) was less safe than the cash at home and probably lost value over the year.
- (C) secretly turned into company shares without him choosing to buy any.
- (D) was printed into new currency notes by the bank for its own profit.

48. A student writes three claims: (1) 'a bank just stores my money untouched in a locker'; (2) 'the RBI is the bank where I should open my account'; (3) 'shares are a safe, sure way to grow money.' How many of the three are wrong?

- (A) only one is wrong; the other two are correct.
- (B) all three — a bank lends most deposits out, the RBI is the banker to banks not for personal accounts, and shares carry real risk.
- (C) only two are wrong; the third is correct.
- (D) none is wrong; all three are correct.

49. Why does a fixed deposit usually pay a higher rate of interest than a current account?

- (A) because fixed-deposit holders are always wealthier than current-account holders.
- (B) because a fixed deposit is a kind of company share that pays a dividend.
- (C) because the bank can rely on keeping that money for a set period, so it can confidently lend it out for longer and earn more.
- (D) because the RBI orders banks to pay a higher rate on every fixed deposit.

50. A student says a 'deposit' and a 'loan' are the same because both involve money and a bank. The sharpest correct distinction is:

- (A) in a deposit you take money from the bank, while in a loan you give money to the bank.
- (B) a deposit must be repaid with interest, while a loan earns you interest.
- (C) in a deposit you give money to the bank and may earn interest; in a loan you take money from the bank and must repay it with interest.
- (D) both mean money the bank hands over free, with no interest in either case.

51. When deciding whether to approve a loan, the deepest reason a bank checks that the borrower can repay is that:

- (A) the money it lends is largely other people's deposits, so an unrepaid loan puts depositors' savings and the bank itself at risk.
- (B) the bank prints the loan money itself, so a default would cost it nothing.
- (C) loans are gifts the bank merely hopes will be returned out of kindness.
- (D) the RBI automatically repays any private loan a borrower fails to pay.

52. Which single situation is the clearest example of your deposit 'working in the economy' rather than lying idle?

- (A) your deposit is sealed in a locker with your name on it for the whole year.
- (B) your deposit is converted into gold bars and stored in a vault.
- (C) part of your deposit is lent to a farmer to buy seeds for the coming harvest.
- (D) your deposit is mailed back to you in cash every month.

53. 'Credit' comes from the Latin 'credere', 'to trust'. Which situation best shows why that root fits how a bank lends?

- (A) the borrower hands the bank money to keep safe for a year.
- (B) the RBI prints fresh currency notes it does not expect back.
- (C) the bank sells the borrower a unit of ownership in a company.
- (D) the bank hands over money now, trusting the borrower will repay it later with interest.

54. A saver places 10,000 at 10% compounded yearly. The balance after THREE years is closest to:

- | | |
|------------|------------|
| (A) 13,000 | (B) 11,000 |
| (C) 10,000 | (D) 13,310 |

55. A bank shows a graph: a simple-interest balance rising as a straight line and a compound-interest balance rising as a curve that bends upward over the years. The upward bend happens because:

- (A) each year's interest is added to the balance and then itself earns interest, so the amount added grows larger every year.
- (B) the bank secretly raises the interest rate each year on the compound account.
- (C) the saver quietly deposits extra money into the compound account every year.
- (D) compound interest ignores the original principal and grows entirely on its own.

56. A friend claims a town with excellent roads but no banks can fund new factories just as easily as a neighbouring town that has banks and a stock market. The chapter's reasoning shows this is wrong because:

- (A) roads are useless unless a bank owns them outright.
- (B) physical infrastructure alone is not enough — financial infrastructure is needed to raise and channel the money that puts physical projects to work.
- (C) a town with banks no longer has any need for roads.
- (D) factories can be built only by the Reserve Bank of India.

57. A borrower says, 'A loan is really a gift, because the bank gives me money.' The chapter's correction is that a loan differs from a gift because:

- (A) a loan need never be repaid, exactly like a gift.
- (B) a loan earns the borrower interest, while a gift costs money.
- (C) a loan is money the borrower gives to the bank, not money received.
- (D) a loan must be repaid later with interest, while a gift need not be repaid at all.

58. A company has issued one lakh shares. A morning report says its share price rose, and at year-end it pays a dividend. A holder of 50 shares benefits in which way that a 50,000 fixed-deposit holder does NOT?

- (A) the shareholder is guaranteed both a fixed interest and a guaranteed dividend every year.
- (B) the shareholder is repaid the original price plus fixed interest, exactly like the deposit.
- (C) the shareholder receives a salary from the company in place of any deposit interest.
- (D) the value of the shares can rise so they could be sold for more, and a dividend may be paid — but both depend on the company and market and could instead fall.

59. Asha deposits 20,000 at a bank that pays 5% interest; the bank lends part of it to Bina at 10%, who uses it to grow her shop. Choosing the statement that correctly traces the money:

- (A) Asha's deposit does not sit idle — it is lent to Bina, who pays more interest than Asha earns, and the bank keeps the difference while Asha still gets her 5%.
- (B) Asha's 20,000 is locked untouched in a vault, so Bina's loan must be newly printed money.
- (C) Bina pays 5% and Asha earns 10%, so the bank loses money on the arrangement.
- (D) the bank gives Bina the loan free, hoping she repays out of kindness, and pays Asha from the government.

60. A student is asked for the ONE statement that is fully correct about the Reserve Bank of India. Which is it?

- (A) It is an ordinary bank where individuals open their main savings accounts.
- (B) It runs the stock market and sets the price of every company share.
- (C) It builds the country's roads and ports as part of physical infrastructure.
- (D) It issues the country's currency, acts as banker to banks and the government, supervises banks, and can influence borrowing by changing the benchmark rate.

Solutions — Social Science (Class 7), Chapter 20: Banks and the Magic of Finance — Paper 5

Paper 5 — (progressively harder)

Marking: +4 correct, –1 wrong, 0 unattempted. Maximum marks **240**.

Answer Key

Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans
1	C	11	A	21	D	31	B	41	A	51	A
2	B	12	B	22	B	32	D	42	B	52	C
3	C	13	C	23	D	33	A	43	A	53	D
4	C	14	B	24	D	34	D	44	C	54	D
5	B	15	D	25	D	35	A	45	A	55	A
6	C	16	B	26	C	36	C	46	A	56	B
7	B	17	D	27	A	37	A	47	A	57	D
8	C	18	C	28	B	38	D	48	B	58	D
9	A	19	B	29	A	39	B	49	C	59	A
10	B	20	C	30	C	40	D	50	C	60	D

Answer-key distribution: A = 15, B = 15, C = 15, D = 15.

Worked Solutions

1. (C) A bank and a stock exchange both move and manage money, so both belong to financial infrastructure; the railway (moving goods) is physical and the hospital (a social service) is social. Pairing the railway with the bank is wrong because a bank does not carry freight. Calling all four financial is wrong because only the money-handling facilities qualify; cost of building does not decide the type. Putting the hospital with the stock exchange is wrong because a hospital serves people directly (social), not money.

2. (B) Finance complements physical infrastructure: it supplies the money to build and use ports and grids, so Region X gets fuller use of what it has. Demolishing the physical assets is wrong because finance funds and operates them rather than replacing them. 'No advantage' is wrong because the chapter's whole point is that the two reinforce each other. 'Only the richest' is wrong because inclusive banking (Jan Dhan) is meant to reach ordinary people too.

3. (C) A pipeline physically moves a resource (physical infrastructure); UPI moves money between bank accounts (financial infrastructure) — different categories. 'Same kind' is wrong because what is moved (a resource vs money) decides the type, not the speed. Swapping the labels is wrong: UPI moves money, not a physical resource. 'Only roads count' is wrong because schools, banks, markets and grids are all infrastructure of different types.

4. (C) A fixed deposit locks money for a set period at higher interest; a savings account suits everyday saving with easy withdrawals; a current account suits a business making many transactions. The second option misplaces every account. The third reverses the lock-in and everyday roles and treats a current account as a savings tool. Using a fixed deposit for all three fails because its lock-in prevents the easy withdrawals and frequent payments the other two purposes need.

5. (B) Banks keep only part of deposits as reserves and rely on a steady flow of new deposits and repayments, so withdrawals can be met without holding every rupee idle. 'Every rupee untouched' contradicts the fact that 80,000 was lent. Printing notes is the RBI's job, not a commercial bank's. Recalling the whole loan in a day is not how loans work — they are repaid over time, and the reserve-plus-flow system is what keeps withdrawals safe.

6. (C) Simple: 10% of 1,000 is 100 per year, so 300 over 3 years. Compound: 1,000 to 1,100 to 1,210 to 1,331, an interest of 331. The difference is 331 minus 300 equals 31. '0' wrongly assumes equal rates give equal interest. '100' is just one year's interest. '331' is B's whole interest, not the excess over A.

7. (B) Interest earned is 9% of the 1,50,000 lent equals 13,500; interest paid is 4% of all 2,00,000 deposits equals 8,000; net gain is 5,500. The first wrong option charges 9% on the full 2,00,000 and pays the wrong figure. The second pays only on the lent portion (6,000) rather than on all deposits. The last forgets the bank pays interest on deposits and lends only part of them.

8. (C) Doubling from square 1 gives 1, 2, 4, 8, 16, 32, 64, 128, 256, 512, 1024 on the 11th square. '22' wrongly adds 2 each time. '121' assumes a square-of-the-number pattern. '2048' is the 12th square, one doubling too far.

9. (A) Compounding means each year's interest is added and then itself earns interest, so the untouched sum grows much faster. 'Grows more slowly' confuses leaving money to compound with losing value. 'Same total' is wrong because time and compounding both matter, not the rate alone. 'Shrinks' is false — banks do not cut untouched balances; they add interest.

10. (B) Compounding: 1,000 to 1,200 (year 1), to 1,440 (year 2), to 1,728 (year 3). '1600' wrongly adds a flat 200 each year (simple interest). '1440' stops at two years. '1200' applies

the interest only once.

11. (A) A bank charges borrowers more than it pays depositors and shares some of that gap with you as your interest. The government does not pay your deposit interest, and your money is not idle — it is lent out. Commercial banks do not print notes (only the RBI issues currency). Unrepaid loans are a loss to the bank, not a source of your interest.

12. (B) The original sum borrowed (1,00,000) is the principal; the extra 8,000 paid for the use of the money is the interest. Swapping them is wrong because the principal is what was borrowed, not the largest number. 'Dividend' applies to company profit shared with shareholders, not a borrower's payment. 'Benchmark rate' and 'reserve' are RBI/banking terms, not the parts of this loan.

13. (C) Deposits do not lie idle; banks lend most of them out for productive uses, so the money works in the economy. Buried cash earns nothing — deposits, not buried cash, earn interest. Banks do not burn money. Deposits fund local lending; they are not simply sent abroad.

14. (B) Jan Dhan brings savings, payments and credit within reach of those left out, so they can save safely and later borrow on fairer terms than a moneylender's. Forcing them into shares is wrong because shares carry risk and are not the scheme's aim. Banning borrowing is the opposite of widening access to credit. The scheme is about inclusion, not handing out free monthly money.

15. (D) The RBI was established in 1935 and the Jan Dhan Yojana launched in 2014; 2014 minus 1935 is 79 years. '50 years' miscalculates the gap. '1950' is the wrong founding year for the RBI. Swapping the years (RBI 2014, Jan Dhan 1935) reverses the two events.

16. (B) The RBI is the banker to banks and the government, so individuals bank at commercial banks instead. It is not where citizens keep savings, so the first option is wrong. There is no adults-only RBI savings account — individuals do not bank there regardless of age. The RBI is central to money and banking (it issues currency and supervises banks), so saying it has no role is false.

17. (D) Issuing currency is a job of the RBI, not commercial banks. Accepting individual deposits, giving home loans and allowing cash withdrawals are all everyday commercial-bank activities, so none of those distinguishes the RBI.

18. (C) Banks bank with the RBI the way people bank with commercial banks — that is the meaning of banker to banks. The RBI does not compete for individual savers; it does not take personal accounts. It is the central bank, not owned by a commercial bank. It works with Indian banks, not only foreign ones.

19. (B) Supervision means making rules and monitoring banks so the system stays safe. The RBI does not run banks' daily branch work, does not compete for their customers, and

does not issue company shares (that happens on the stock market).

20. (C) A higher benchmark rate raises banks' cost of funds, so they charge borrowers more and borrowing slows. 'Lend more cheaply' reverses the direction — a rise makes borrowing dearer, not cheaper. The RBI does not set every shop price directly. Share prices keep moving with companies and the market; they are not frozen by the rate.

21. (D) A rate cut lowers banks' cost of funds, so loans tend to get cheaper. 'Must rise' reverses the link. The RBI does not fix house prices. A dividend is a company-profit payment to shareholders, not something a borrower receives.

22. (B) A general rise in prices is inflation; raising the benchmark rate makes borrowing dearer, eases spending and helps check it. The second option uses the wrong tool direction — a cut, not a rise, speeds borrowing. Compounding is interest on interest, not a price rise. A dividend is company profit shared with shareholders, unrelated to prices.

23. (D) Stable prices keep money's buying power steady, protecting savings and incomes. Rising prices erode buying power rather than enriching everyone. Buying power very much affects daily life — that is why it matters. Higher inflation harms savers by reducing what their money buys, so it is not a benefit.

24. (D) A sharp rate rise raises loan costs, which cools borrowing and spending — the tension with affordability. Loans never become free; fighting inflation does not abolish interest. Borrowing is closely tied to rates, so it is affected. The RBI does not close the stock market to fight inflation.

25. (D) Cheques, electronic transfers and UPI are all ways to move existing rupees between accounts — only speed and method vary. None creates new money (only the RBI issues currency). They move money, not shares. No physical notes are mailed; the movement is between accounts.

26. (C) Electronic transfers settle almost instantly, while a cheque must clear, which is slower. Neither a cheque nor a transfer creates new money. Cheques are still legal to use, so a transfer is not the only legal method. Both a cheque and a transfer move money, not shares.

27. (A) A cheque orders your bank to pay a named person a set amount from your account. A unit of ownership in a company is a share, not a cheque. The RBI does not promise to print notes on a cheque. A record of added interest is a statement entry, not a cheque.

28. (B) UPI moves existing rupees from her account to the stall-owner's account in seconds. The phone does not print notes. UPI moves money, not shares. The stall-owner receives payment, not the buyer receiving a cheque.

29. (A) UPI is an Indian innovation for instant smartphone payments that others have taken up — hence a gift to the world. It was built in India, not copied from abroad. It is digital, not paper-based or older than the cheque. India's central bank is the RBI, not UPI.

30. (C) UPI is a payment method that moves rupees between accounts, not a new currency. It has not replaced the rupee. It is not barter — money is still used. It is not a share traded for goods.

31. (B) Twenty shares out of one lakh is a tiny fraction, so you are a very small part-owner. Owning the whole company would need all the shares. A shareholder is an owner, not an employee. A shareholder is a part-owner, not a lender owed fixed interest — that describes a depositor or bondholder, not a shareholder.

32. (D) A dividend is the portion of profit a company pays its shareholders. Interest is what a bank pays on a deposit, not what a company pays a shareholder. A shareholder is an owner, not a lender being repaid a loan. The payout is profit, not a refund of the purchase price.

33. (A) Shareholders gain through dividends and through a rise in the share's price (selling higher than the buy price). They do not earn fixed interest or a guaranteed refund — shares are not deposits. They are owners, not salaried employees. They are not repaid principal with interest like a depositor — that is the depositor's deal, not a shareholder's.

34. (D) Banks and the stock market both move and manage money, so both are financial infrastructure. Transport infrastructure moves goods and people. Social infrastructure serves people directly (schools, hospitals). Energy infrastructure carries power. None of these matches the money-handling role.

35. (A) A deposit gives Asha a safe, known return; shares suit Bina's appetite for risk and higher possible gains. Giving Asha shares ignores her wish for safety. 'Shares are always safe' is false — shares carry real risk. 'Deposits can lose value' is wrong — a deposit's return is known, unlike a share's.

36. (C) A deposit's interest is set by the bank (known), but a share's value moves with the company and market (uncertain). The first distractor reverses the two. Deposits pay interest, not a dividend, and a share's dividend is not fixed and equal. The RBI does not guarantee share gains.

37. (A) Shares carry real risk and can fall, unlike a deposit that earns fixed interest — so they are not 'sure to grow'. 'Never lose value' is false. A savings account is safer, not riskier, than shares. Shares and savings are not identical, so the claim is not correct.

38. (D) A genuine bank never asks for your OTP, so refuse and report to 1930. Sharing the OTP — or worse, the OTP and PIN — hands a fraudster the keys to your money. Sending a 'test payment' simply gives the fraudster your money.

39. (B) OTP, PIN and password are the keys to your money; a genuine bank never asks for them, so anyone who does intends fraud. Banks do not 'regularly need' them from you. Fraud is not limited to foreigners. These secrets protect ordinary bank accounts, not just share dealings.

40. (D) 'Bank' is from the Italian 'banca' (bench) where moneylenders worked; 'banca rotta' (broken bench) gave 'bankrupt'. Neither comes from a 'gold vault' word. They do not come from 'cheque' and 'currency'. 'To trust' is the root of 'credit', not of 'bank' and 'bankrupt'.

41. (A) Finance now means managing money through saving, lending and investing. Building roads and ports is physical infrastructure, not finance. Printing notes is one RBI job, not the whole meaning of finance. Barter is exchange without money, the opposite of money management.

42. (B) Simple: 10% of 5,000 is 500 per year, so 1,000 over two years. Compound: 5,000 to 5,500 to 6,050, an interest of 1,050. The difference is 1,050 minus 1,000 equals 50. 'o' assumes equal rates give equal interest. '100' doubles the real gap. '500' is one year's simple interest, not the difference.

43. (A) Each act has its own nature: the deposit is safe with a known return, the share is risky, the loan must be repaid with interest, and UPI moves existing rupees. They do not all grow at one fixed rate — a share is not guaranteed. UPI creates no new money. A loan costs the borrower interest; it does not earn them interest like a deposit.

44. (C) Earned: 11% of 3,00,000 lent equals 33,000; paid: 5% of all 4,00,000 deposits equals 20,000; net gain 13,000. The first option wrongly charges 11% on the full 4,00,000. The second pays interest only on the lent portion (15,000) rather than on all deposits. The last ignores the interest paid to depositors entirely.

45. (A) Simple: 25% of 8,000 is 2,000 per year, so 4,000 interest over two years, ending at 12,000. Compound: 8,000 to 10,000 to 12,500, an interest of 4,500, ending at 12,500. The compound investor ends 500 ahead. 'o' assumes equal results. '2000' is one year's interest. '4000' is the simple-interest total, not the difference.

46. (A) A bank, a stock market and a digital payments system all move and manage money (financial), while a power grid carries electricity (physical) — so the grid is the odd one out. The stock market is about money (shares represent money invested). A payments system moving money is exactly financial infrastructure. A bank's role is financial, not a social service like a school or hospital.

47. (A) A deposit earns interest and is lent out to work in the economy, unlike idle mattress cash. A bank deposit is safe, not riskier than home cash. A deposit does not turn into shares on its own. Banks do not print notes — that is the RBI's role — so the deposit is not 'printed into new notes'.

48. (B) All three are wrong: banks lend out most deposits (not untouched), the RBI serves banks and government (not personal accounts), and shares carry real risk (not sure to grow). 'Only one' and 'only two wrong' understate the errors. 'None wrong' endorses three misconceptions.

49. (C) A fixed deposit stays put for a set period, so the bank can lend it for longer and rewards that with higher interest. Wealth of the holder does not set the rate. A fixed deposit is a bank deposit, not a company share paying a dividend. The RBI does not fix every deposit rate by order; banks set deposit rates within the rate environment.

50. (C) A deposit means you give the bank money and may earn interest; a loan means you take the bank's money and repay it with interest — opposite directions. The first distractor reverses who gives and who takes. The second swaps which one is repaid and which earns. The third wrongly claims neither involves interest.

51. (A) Banks lend out depositors' money, so an unpaid loan endangers those savings and the bank. Banks do not print loan money (only the RBI issues currency). Loans are not gifts — they must be repaid with interest. The RBI does not automatically cover defaulted private loans.

52. (C) Lending your deposit to a farmer puts the money to productive use — that is working in the economy. A sealed locker, gold in a vault, or cash mailed back are all idle uses that do not circulate the money into loans.

53. (D) Lending on credit means giving money in trust that it will be repaid — matching 'credere'. The borrower handing money to keep safe is a deposit, not credit. Printing notes is the RBI's currency role, not lending in trust. Selling a unit of ownership is a share sale, not a loan.

54. (D) Compounding: 10,000 to 11,000 to 12,100 to 13,310. '13,000' adds a flat 1,000 each year (simple interest). '11,000' applies interest only once. '10,000' wrongly assumes no growth.

55. (A) The bend comes from interest earning interest, so each year's addition is bigger. The rate is not secretly raised. No extra deposits are made — the growth is from compounding alone. Compound interest builds on the principal plus added interest, not by ignoring the principal.

56. (B) Roads move goods, but raising and channelling money for factories needs financial infrastructure — the two complement each other. Banks do not need to own roads for roads to be useful. A town with banks still needs roads (finance complements, not replaces). Factories are funded through banks and markets, not built by the RBI.

57. (D) A loan must be repaid with interest, unlike a gift. Saying a loan need never be repaid erases the very feature that makes it a loan. A loan costs the borrower interest; it

does not earn them interest. A loan is money received from the bank, not given to it (that would be a deposit).

58. (D) A shareholder may gain from a rising price and a dividend, but these are not guaranteed and can fall — unlike the deposit's known interest. The shareholder is not guaranteed fixed interest plus a guaranteed dividend. A shareholder is not repaid principal plus fixed interest like a depositor. A shareholder is an owner, not a salaried employee.

59. (A) Deposits are lent out; Bina pays 10% while Asha earns 5%, and the bank keeps the gap — Asha's money works rather than lying idle. The deposit is not locked untouched, and Bina's loan is not newly printed money. The rates are not reversed — the borrower pays more than the depositor earns, so the bank gains, not loses. Loans are not free gifts, and Asha's interest comes from the bank's lending, not the government.

60. (D) The RBI issues currency, is banker to banks and government, supervises banks and sets the benchmark rate — all correct. It is not where individuals keep savings (that is a commercial bank). It does not run the stock market or fix share prices. It does not build roads and ports — that is physical infrastructure.